



ORIGINAL

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17- 07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

COMPLAINT

Complainant, Port Elizabeth Terminal & Warehouse Corp., by and through the undersigned, hereby files this Complaint against The Port Authority of New York and New Jersey ("PANYNJ") alleging violations of the Shipping Act of 1984, *as amended* (46 U.S.C. § 40101 et seq.) (the "Shipping Act").

I. Complainant

A. Complainant Port Elizabeth Terminal & Warehouse Corp. is a corporation organized under the laws of the State of New Jersey

B. Complainant Port Elizabeth Terminal & Warehouse Corp. has an office and principal place of business at 201A Export Street, Port Newark, New Jersey.

II. Respondent

A. The Port Authority is a body corporate and politic created by Compact between the States of New York and New Jersey with the consent of the Congress of the United States,

existing under the laws of the States of New Jersey and New York, with its principal place of business at 4 World Trade Center, 150 Greenwich Street, New York, New York.

B. PANYNJ operates marine terminal facilities in the New York – New Jersey area, including in Elizabeth, New Jersey.

III. Jurisdiction

A. PANYNJ is a marine terminal operator within the meaning of the Shipping Act, 46 U.S.C. § 40102(14), and controls virtually all of the common carrier served terminal facilities located within the Port of New York and New Jersey.

B. Port Elizabeth Terminal & Warehouse Corp. is a marine terminal operator within the meaning of the Shipping Act, 46 U.S.C. § 40102(14).

C. Port Newark Container Terminal (“PNCT”) is a marine terminal operator within the meaning of the Shipping Act, 46 U.S.C. § 40102(14).

D. PNCT is a competitor with Port Elizabeth Terminal & Warehouse Corp. for space and operational capacity at the Port of New York and New Jersey.

E. The PANYNJ and Port Elizabeth Terminal & Warehouse Corp. are parties to agreement LPN-297.

F. The PANYNJ and Port Newark Container Terminal (“PNCT”) are parties to agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132. The Commission has jurisdiction over this Complaint which is filed pursuant to the Shipping Act, 46 U.S.C. § 41301.

G. The Commission has jurisdiction over this Complaint because the parties are marine terminal operators within the meaning of the Shipping Act, 46 U.S.C. § 40102(14) and the

actions of the PANYNJ which are the subject of this Complaint are violations of the Shipping Act.

IV. Statement of Facts and Matters Complained Of

- A. Port Elizabeth Terminal & Warehouse Corp. provides warehousing and other terminal services and facilities to other marine terminal operators and common carriers handling thousands of shipping containers that enter or depart through the Port of New York and New Jersey.
- B. Port Elizabeth Terminal & Warehouse Corp. has been a tenant of PANYNJ and doing business in the Port of New York and New Jersey for over forty-two (42) years.
- C. Port Elizabeth Terminal & Warehouse Corp. is a public warehouse company and has been operating warehouses in the Port of New York and New Jersey since 1975.
- D. The vast majority of Port Elizabeth Terminal & Warehouse Corp.'s customers ship heavy / dense products to and from the United States.
- E. Port Elizabeth Terminal & Warehouse Corp. provides a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings.
- F. These 58,000 lbs. containers cannot be legally shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights.
- G. The 58,000 lbs. containers can be legally transported via the Port's Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal &

Warehouse Corp. warehouses in Port Newark and transloaded on-terminal and their loads reduced to legal off-port highway weights for off-port delivery.

H. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling approximately 60,000 TEU's per year of these types of heavy-loaded import and export containers that require on-terminal transloading.

I. Port Elizabeth Terminal & Warehouse Corp. and PANYNJ have, over these past forty-two (42) years, entered into numerous Leases, agreements and supplements to agreements based upon the parties' needs and to advance the parties' mutual commercial and business interests.

J. Over the past forty-two (42) years, the parties have entered into dozens of agreements and supplements pursuant to an established pattern and practice of working together to facilitate commerce within the port district.

K. On November 1, 2009, PANYNJ entered into an agreement, in writing, designated as Lease No.: LPN-297 (the "Lease Agreement").

L. Pursuant to the Lease Agreement, the PANYNJ, as Lessor, let to Complainant, as lessee, the Premises, which included Building 201 and Building 202 of the Premises.

M. The Lease Agreement as to Building 201 and Building 202 of the Premises commenced on November 1, 2009 with a stated termination date of October 31, 2019.

N. Since November 1, 2009, when PANYNJ entered into Lease No.: LPN-297 Port Elizabeth Terminal & Warehouse Corp., PANYNJ has assured Port Elizabeth Terminal & Warehouse Corp. that, consistent with the longstanding relationship and clear understanding of the parties, PANYNJ would engage in good faith negotiations with Port Elizabeth

Terminal & Warehouse Corp. to provide suitable space at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

O. Port Elizabeth Terminal & Warehouse Corp. occupied 138,400 Square Feet of warehouse space 1400 Aruba Street Elizabeth, New Jersey 07201 and, at the PANYNJ's request, vacated the premises on December 31, 2014, purportedly to allow for sprinkler repairs.

P. The warehouse space at 1400 Aruba Street Elizabeth, New Jersey 07201 remains vacant.

Q. On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square Feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ's request to allow for the PNCT Terminal Expansion.

R. On or about November 30, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 91,855 Square Feet of space at 292 Marlin Street at the request of PANYNJ purportedly to create more room for vessel receiving.

S. PANYNJ seeks to have Port Elizabeth Terminal & Warehouse Corp. vacate 312,000 Square Feet of warehouse space at 201 Export Street and 202 Clipper Street to allow for the PNCT Terminal Expansion.

T. Port Elizabeth Terminal & Warehouse Corp. agreed to PANYNJ's requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at

reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

PANYNJ Has Given Undue Or Unreasonable Preference Or Advantage To Other Marine Terminal Operators And Has Imposed An Undue Or Unreasonable Prejudice Or Disadvantage Upon Port Elizabeth Terminal & Warehouse Corp.

U. The Shipping Act forbids ocean carriers and Marine Terminal Operators (MTOs) (including port authorities) from “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” with respect to “any person.” 46 U.S.C. §§ 41106(2), 41104(8)-(9).

V. PANYNJ has imposed an undue or unreasonable prejudice or disadvantage upon Port Elizabeth Terminal & Warehouse Corp. while unduly favoring other Marine Terminal Operators in the Port of New York and New Jersey.

W. For instance, PANYNJ's agreement with PNCT, agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132, violated the foregoing provisions of the Shipping Act by granting and continuing to grant to PNCT unduly and unreasonably more favorable lease terms than provided to Port Elizabeth Terminal & Warehouse Corp. in Lease No.: LPN-297, including but not limited to agreeing to provide PNCT with “added premises” which are leased to Port Elizabeth Terminal & Warehouse Corp.

X. In this regard, Port Elizabeth Terminal & Warehouse Corp. was never provided an opportunity to negotiate for the “added premises” PANYNJ agreed to provide to PNCT notwithstanding the fact that PANYNJ leased property to the Port Elizabeth Terminal & Warehouse Corp.

Y. The agreement between PANYNJ and PNCT, agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132, was executed by the PANYNJ in January 2012 and agrees to provide “Phase 3 Development Parcel” no later than October 31, 2017.

Z. The “Phase 3 Development Parcel” described in the PNCT lease is the same premises leased to Port Elizabeth Terminal & Warehouse Corp. in Lease LPN-264 described in Exhibit D-3 of that lease.

AA. Accordingly, at the time PANYNJ executed the PNCT lease in January 2012, it knew Port Elizabeth Terminal & Warehouse Corp. occupied the premises described in the PNCT lease as “Phase 3 Development Parcel” pursuant to a lease and that Port Elizabeth Terminal & Warehouse Corp. sought to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from the PANYNJ on the so-called “Phase 3 Development Parcel”.

BB. Notwithstanding this knowledge, PANYNJ unreasonably refused to deal and negotiate with Port Elizabeth Terminal & Warehouse Corp. regarding the premises.

CC. Thus, the PANYNJ negotiated with PNCT and agreed to provide it with certain so-called “added” premises some of which was occupied by Port Elizabeth Terminal & Warehouse Corp. but at the same time the PANYNJ refused to negotiate with Port Elizabeth Terminal & Warehouse Corp. regarding the so-called “added” premises.

DD. As noted above, certain business of the Port Elizabeth Terminal & Warehouse Corp. is dependent upon use of heavy load vehicles that may not use the United States Highway

system and must use the Marine Terminal Highway system in Port Newark/Elizabeth to accommodate its customers and maintain its business.

EE. By taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT, the Port Authority has provided PNCT with an undue advantage and has made it likely that Port Elizabeth Terminal & Warehouse Corp.'s customers will be forced to seek a new marine terminal operator who can provide services formerly provided by Port Elizabeth Terminal & Warehouse Corp. and, accordingly, Port Elizabeth Terminal & Warehouse Corp. will lose business.

FF. There is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Port Elizabeth Terminal & Warehouse Corp. and undue or unreasonable preferences advantaging PNCT or the PANYNJ's refusal to deal with Port Elizabeth Terminal & Warehouse Corp.

GG. If there is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose.

PANYNJ Has Unreasonably Refused To Deal And Negotiate With Port Elizabeth Terminal & Warehouse Corp.

HH. The Shipping Act of 1984, § 41106(3) provides that a marine terminal operator may not "unreasonably refuse to deal or negotiate".

II. Port Elizabeth Terminal & Warehouse Corp. has at all times sought to negotiate with PANYNJ officials regarding its continuing operations at the Port of New York and New Jersey, including at the PANYNJ's Port Newark facility.

JJ. For instance, on or about August 3, 2011, representatives of Port Elizabeth Terminal & Warehouse Corp. met with PANYNJ officials to discuss a proposal submitted on or about

July 18, 2011 and to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from the PANYNJ.

KK. On or about July 18, 2016, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of building at 1400 Aruba Street as alternate space to 201 Export Street or 202 Clipper Street.

LL. As noted above, Port Elizabeth Terminal & Warehouse Corp. had occupied 1400 Aruba Street from March 2010 until December 14, 2014 when PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to vacate the premises in order to allow for sprinkler repairs.

MM. On or about February 2, 2017, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of buildings 265, 267 and 268 Export Street as alternate space to 201 Export Street or 202 Clipper Street.

NN. Despite Port Elizabeth Terminal & Warehouse Corp.'s efforts to engage in good faith negotiations, PANYNJ has consistently refused to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.'s continued operations at Port Newark.

OO. On or about March 15, 2017, Port Elizabeth Terminal & Warehouse Corp. officials met with PANYNJ officials in an attempt to negotiate in good faith.

PP. At the PANYNJ's request, on March 17, 2017 Port Elizabeth Terminal & Warehouse Corp. submitted a revised Proposal and emphasized the necessity of negotiating a deal over

suitable alternative space and the impact of PANYNJ's failure to engage in good faith negotiations was having on its business.

QQ. On March 27, 2017, PANYNJ sought confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes which, in good faith, Port Elizabeth Terminal & Warehouse Corp. promptly provided.

RR. On or about March 28, 2017, Port Elizabeth Terminal & Warehouse Corp. officials again met with PANYNJ officials in an attempt to negotiate in good faith and the following day provided the confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes.

SS. On April 7, 2017, Port Elizabeth Terminal & Warehouse Corp. requested an update from the PANYNJ.

TT. On April 11, 2017, PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to provide information regarding the total annual rail volume, in rail cars, for the years 2014-2016.

UU. Notwithstanding the Notice of Termination PANYNJ served upon Port Elizabeth Terminal & Warehouse Corp. seeking to have Building 201 and Building 202 vacated, Port Elizabeth Terminal & Warehouse Corp., on April 21, 2017, requested an update from the PANYNJ regarding its request for suitable alternative space, once again explaining how the lack of progress in negotiations over warehouse space was impacting Port Elizabeth Terminal & Warehouse Corp.'s business.

VV. Without responding to the Port Elizabeth Terminal & Warehouse Corp.'s request of April 21, 2017 and Port Elizabeth Terminal & Warehouse Corp.'s continuing efforts to

engage in good faith negotiations, the PANYNJ, on May 4, 2017, filed a Verified Complaint in the Superior Court of New Jersey seeking to evict Port Elizabeth Terminal & Warehouse Corp. from premises known as Building 201 and Building 202 at Port Newark.

WW. Upon receipt of the Eviction Complaint, Port Elizabeth Terminal & Warehouse Corp. requested PANYNJ to withdraw its eviction action and engage in good faith negotiations, however, PANYNJ has refused to deal or negotiate.

XX. The PANYNJ's conduct as described above, and as developed further through discovery, constitutes an unreasonable refusal to deal or negotiate.

PANYNJ Has Failed To “Establish, Observe, And Enforce Just And Reasonable Regulations And Practices Relating To Or Connected With Receiving, Handling, Storing, Or Delivering Property” In Violation Of 46 U.S.C. § 41102(c).

YY. The Shipping Act 46 U.S.C. § 41102(c) requires MTOs (including port authorities) to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

ZZ. The PANYNJ has not established, observed, and/or enforced just and reasonable regulations and practices as they pertain to tenants who receive, handle, store, or deliver property.

AAA. Rather, The PANYNJ's regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor certain Marine Terminal Operators based upon status.

V. Violations of the Shipping Act

A. As a result of the foregoing, PANYNJ violated the Shipping Act, 46 U.S.C. §§ 41106(2) and (3) and 41102(c).

VI. Injury to Port Elizabeth Terminal & Warehouse Corp.

A. As a result of PANYNJ's aforementioned violations of the Shipping Act, Port Elizabeth Terminal & Warehouse Corp. has sustained and continues to sustain injuries and damages, including but not limited to damages to lost profits, damage to its business interests, higher rents, costs, and other undue and unreasonable payments amounting to a sum of millions of dollars to be determined more precisely at hearing.

VII. Prayer for Relief

A. Port Elizabeth Terminal & Warehouse Corp. has met directly with the PANYNJ's leadership in an attempt to resolve this dispute, but the PANYNJ has rebuffed Port Elizabeth Terminal & Warehouse Corp.'s requests. Therefore, Port Elizabeth Terminal & Warehouse Corp. does not believe that alternative dispute resolution procedures would be productive and Port Elizabeth Terminal & Warehouse Corp. has not consulted with the Commission's dispute resolution specialist.

B. WHEREFORE, Complainant Port Elizabeth Terminal & Warehouse Corp. prays that Respondent PANYNJ be required to answer the charges in this Complaint; and that after investigation and due hearing in Washington, D.C. an order be made commanding PANYNJ to cease and desist from the aforementioned violations of the Shipping Act, requiring PANYNJ to negotiate in good faith and reach agreement regarding alternative suitable space at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark and providing to Port Elizabeth Terminal & Warehouse Corp. the preferences provided to PNCT and other tenants, putting in force such practices as the Commission determines to be lawful and reasonable; and that an order be made

commanding PANYNJ to pay Port Elizabeth Terminal & Warehouse Corp. reparations for violations of the Shipping Act, including the amount of the actual injury, plus interest, costs and attorneys' fees, and any other damages to be determined; and that the Commission order any such other relief as it determines appropriate.

Respectfully submitted,

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Dated: July 21, 2017

VERIFICATION

I, Patrick J. Wynne, President of Complainant Port Elizabeth Terminal & Warehouse Corp., declare under penalty of perjury that the statements set forth in the foregoing Verified Complaint are true and correct.



Patrick J. Wynne

Dated: July 21, 2017